

The Retirement Researcher Manifesto

As I have attempted to summarize the key messages and themes that have underscored my writing and research going into this book, I find that the following eight guidelines serve as a manifesto for my approach to retirement income planning. Much of my writing concerns how to implement these guidelines into a retirement income plan.

1. Play the long game. A retirement income plan should be based on planning to live, not planning to die. A long life will be expensive to support, and it should take precedence over death planning. Fight the impatience that could lead you to choose short-term expediences carrying greater long-term cost. This does not mean, however, that you sacrifice short-term satisfactions to plan for the long term. Many efficiencies can be gained from a long-term focus that can support a higher sustained standard of living for as long as you live.

You still have to plan for a long life, even when rejecting strategies that only help in the event of a long life. Remember, planning for average life expectancy is quite risky—half of the population outlives their expectancy. Planning to live longer means spending less than otherwise. Developing a plan that incorporates efficiencies that will not be realized until later can allow more spending today in anticipation of those efficiencies. Not taking such long-term, efficiency-improving actions will lead to a permanently reduced standard of living.

2. Do not leave money on the table. The holy grail of retirement income planning is finding strategies that enhance retirement efficiency. I define efficiency as follows: if one strategy allows for more lifetime spending and a greater legacy value for assets relative to another strategy, then it is more efficient. Efficiency must be defined from the perspective of how long you live. Related to point 1, a number of strategies can enhance efficiency over the long term (but not necessarily over the short term) with more spending and more legacy. One simple example for tax planning in retirement is taking IRA distributions or harvesting capital gains to generate enough income to fill the 0 percent marginal tax bracket.